The Outside View

Fun Fridays · Professional Minds · Week 4

What usually happens to projects like this, before we tell our project's story?

Use a fitting reference class and base rate before trusting an inside-view forecast.

Today's finish line

DO THIS See the core move.

WHAT THIS MEANS
Start with comparable cases, then make explicit case-specific adjustments.

DO THIS Try it on a bounded example.

WHAT THIS MEANS
A team forecasts a three-month training launch; comparable launches took six to eight months. Choose a pilot and a decision point.

DO THIS State evidence and limits.

WHAT THIS MEANS
A reference class, baseline, justified adjustment, and revise/stop/continue trigger.

What does this prove, and what does it not prove?

DO THIS → WHAT THIS MEANS → FIND THIS YOURSELF → DEMAND DOCUMENTATION
VERIFY ON YOUR MACHINE → KEEP THE RECEIPT

The mental model

The idea

The inside view tells a compelling case story. The outside view asks what happened to comparable cases and uses that baseline to discipline confidence.

The boundary

A base rate is not destiny. Differences may justify an adjustment, but they must be named and evidenced.

FIND THIS YOURSELF Before accepting a conclusion, name the observation that would support it.

A worked computing example

DO THIS Apply the idea to this bounded case: A team forecasts a three-month training launch; comparable launches took six to eight months. Choose a pilot and a decision point.

First pass

- What is known now?
- Which step or assumption is visible?
- Where is the checkpoint?

Professional move

Compare similar software/training launches, explain why this case differs, and set a decision point before sunk effort speaks for the plan.

Label the application: This is an instructor/computing translation, not a claim about the primary source.

Ask before the answer

What usually happens to projects like this, before we tell our project's story?

Predict
What would you expect if the first story were incomplete?

Compare
What alternative explanation deserves a fair test?

PAIR TALK: Make one claim, one reason, and one uncertainty visible.

Do this: make the move visible

DO THIS Name the reference class, record the baseline range, list the real differences, and define the action if the forecast slips.

1. Write the task, decision, or claim in one sentence.
2. Mark the relevant stages, evidence, comparison, or criteria.
3. Choose one checkpoint before you act or explain.
4. Say what would make you revise, stop, or continue.

VERIFY ON YOUR MACHINE A good first attempt leaves a receipt another person can inspect.

What the source supports — and its limits

Supports

- Reference classes, base rates, realistic baselines, and explicit decision points can counter planning fallacy.
- A clearer question and a more bounded next move.

Does not prove

The outside view does not decide the project by itself and cannot rescue an unrelated or badly chosen comparison class.

Is this safe? **Is this secure?**

How do I know? **Where can I verify that?**

Recovery: when the first story fails

PAUSE

A failed check is information about the route.

Use one bounded recovery

1. Preserve the observation and context.
2. Name the assumption or step to inspect.
3. Make one smaller retry or ask for help.
4. Do not turn uncertainty into a confident story.

Watch for: Choosing an exceptional success as the reference class, or dismissing the baseline without evidence.

Keep the receipt

DO THIS Record the smallest useful evidence.

- Claim or decision
- Observation and context
- Reasoning / comparison / checkpoint
- Result, limit, and next action

Exit move

Write one forecast, its reference class, baseline, adjustment, and a revise/stop/continue trigger.

KEEP THE RECEIPT A concise receipt beats a confident story.

Your next move

Write one forecast, its reference class, baseline, adjustment, and a revise/stop/continue trigger.

How will you know?